



So, let's get started...

We need to first understand the risks that we face. Risk is any uncertainty that can go wrong and by the term 'Financial Risks', we refer to the risks relating to our Financial Plan. We will consider all the factors or events that are beyond our control and can jeopardize our financial plan. We will create a list of all the risks that we face, our income and our assets face and then use a model to evaluate which of these risks need to be insured and which ones can be safely ignored.

To create a list of the potential risks, we will begin by going back to our balance sheet, pulling out every asset and liability, and anticipating what can go wrong with them.

